

12 Aug 2026 08:14:33 ET | 14 pages

Asia Vital Components (3017.TW)

2Q26 Beat Reinforce AI Thermal Ramp; Raised TP to NT\$3,800

CITI'S TAKE

AVC delivered a solid 2Q26 beat, with reported net profit of NT\$9.6bn topping Citi/cons estimates by 11%/12% respectively, driven by margin outperformance and non-ops boost. GPM improvement was above expectations on continued mix shift toward server and liquid cooling solutions. Mgmt.'s guidance implies sequential growth led by AI ASIC ramp-up, with Vera Rubin generation platform contribution expected by quarter-end. We model 16% QoQ revenue growth for 3Q26E, accelerating further into 4Q26E as GPU and AI ASIC liquid cooling ramps. Reaffirmed 2026E/27E capex also underscores confidence in capacity expansion, in our view. We raise our 2026-28E earnings by 5%/12%/18% to reflect updated guidance and constructive 2H26E outlook and lift our TP to NT\$3,800 from NT\$3,450 (25x 2027E EPS). Reiterate Buy.

2Q26 results beat on margins & non-ops — AVC's reported 2Q26 net profit of NT\$9.6bn (+21% QoQ/+139% YoY) beat Citi/cons forecast by 11%/12%, driven by better-than-expected margins and non-ops. 2Q26 GPM came in at 32.6% (+2.8ppts QoQ/+8.2ppts YoY), above both Citi/cons estimates, mainly due to further mix improvement and a higher server revenue contribution. Non-ops included NT\$255m of net interest income, providing an incremental boost to the bottom.

Broadening AI ASIC ramp and GPU transition support 2H26E acceleration — Mgmt. guided for revenue growth in 2H26 compared to 1H26, primarily driven by mass production ramp-up of AI ASIC project, with the Vera Rubin generation platform expected to see contribution by quarter-end. We now model 16% QoQ revenue growth for 3Q26E, and expect further acceleration in 4Q26E as GPU and AI ASIC liquid cooling products ramp simultaneously. GPM guidance also points to sequential improvement vs. 2Q26, driven by a higher server/liquid cooling mix and stronger operating leverage. Mgmt. reaffirmed 2026E/27E capex guidance of NT\$15bn/15+bn, reiterating confidence in ongoing capacity expansion.

Implications — We raise our 2026E/27E/28E earnings forecasts by 5%/12%/18% to reflect updated guidance and constructive 2H26E outlook. We lift our TP to NT\$3,800, still based on 25x 2027E EPS. We believe AVC's solid supply position across key customers' key AI GPU and AI ASIC projects, combined with a sustained revenue and margin growth trajectory, could continue to support the stock price strength. With the platform transition risk now appearing largely resolved and 2H26E visibility improving, we see continued upside to consensus estimates. We reiterate our Buy rating.

Earnings Summary

Year to 31 Dec	Net Profit (NT\$M)	Diluted EPS (NT\$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	8,172	21.21	50.4	137.2	39.5	32.1	0.2
2025A	19,186	49.17	131.8	59.2	25.9	52.2	0.3
2026E	40,315	102.70	108.8	28.3	14.9	65.8	0.7
2027E	60,150	153.21	49.2	19.0	8.4	55.6	1.5
2028E	72,839	185.53	21.1	15.7	5.5	41.7	2.3

Source: Powered by dataCentral

Buy

Price (12 Aug 26 13:30)	NT\$2,910.00
Target price	NT\$3,800.00↑ from NT\$3,450.00
Expected share price return	30.6%
Expected dividend yield	0.7%
Expected total return	31.3%
Market Cap	NT\$1,142,300M US\$35,427M

Price Performance

(RIC: 3017.TW, BB: 3017 TT)


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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

3017.TW: Fiscal year end 31-Dec						Price: NT\$2,910.00; TP: NT\$3,800.00; Market Cap: NT\$1,142,300m; Recomm: Buy					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	71,761	139,639	218,505	305,344	363,328	PE (x)	na	59.2	28.3	19.0	15.7
Cost of sales	-54,891	-103,605	-148,054	-201,675	-238,007	PB (x)	39.5	25.9	14.9	8.4	5.5
Gross profit	16,870	36,034	70,452	103,669	125,321	EV/EBITDA (x)	88.4	37.0	17.4	11.1	8.7
Gross Margin (%)	23.5	25.8	32.2	34.0	34.5	FCF yield (%)	0.5	2.8	4.8	5.5	6.4
EBITDA (Adj)	12,810	30,314	62,885	93,816	112,812	Dividend yield (%)	0.2	0.3	0.7	1.5	2.3
EBITDA Margin (Adj) (%)	17.9	21.7	28.8	30.7	31.0	Payout ratio (%)	32	20	21	29	36
Depreciation	-1,988	-2,759	-4,028	-5,818	-5,980	ROE (%)	32.1	52.2	65.8	55.6	41.7
Amortisation	0	0	0	0	0	Cashflow (NT\$m)					
EBIT (Adj)	10,823	27,556	58,857	87,998	106,831	EBITDA	12,810	30,314	62,885	93,816	112,812
EBIT Margin (Adj) (%)	15.1	19.7	26.9	28.8	29.4	Working capital	333	730	-808	0	0
Net interest	114	91	756	1,021	1,021	Other	-3,511	8,371	7,829	-14,305	-22,061
Associates	-291	-483	-58	0	0	Operating cashflow	9,632	39,415	69,906	79,511	90,750
Non-Op/Except/Other Adj	1,707	1,623	230	0	0	Capex	-4,540	-7,267	-14,907	-17,000	-18,000
Pre-tax profit	12,352	28,786	59,785	89,019	107,852	Net acq/disposals	-3,286	-5,976	-4,563	0	0
Tax	-3,159	-7,836	-16,132	-23,599	-28,913	Other	157	-93	0	0	0
Extraord./Min.Int./Pref.div.	-1,020	-1,764	-3,337	-5,271	-6,101	Investing cashflow	-7,669	-13,336	-19,470	-17,000	-18,000
Reported net profit	8,172	19,186	40,315	60,150	72,839	Dividends paid	-2,667	-3,855	-8,364	-17,574	-26,220
Net Margin (%)	11.4	13.7	18.5	19.7	20.0	Financing cashflow	200	2,620	-5,556	1,441	3,066
Core NPAT	8,172	19,186	40,315	60,150	72,839	Net change in cash	2,967	28,606	44,880	63,952	75,816
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	5,092	32,148	55,000	62,511	72,750
Reported EPS (\$)	21.21	49.17	102.70	153.21	185.53						
Core EPS (\$)	21.21	49.17	102.70	153.21	185.53						
DPS (\$)	6.87	9.68	21.27	44.69	66.68						
CFPS (\$)	25.00	101.02	178.08	202.53	231.16						
FCFPS (\$)	13.22	82.39	140.10	159.23	185.31						
BVPS (\$)	73.68	112.45	195.28	345.81	528.10						
Wtd avg ord shares (m)	385	390	393	393	393						
Wtd avg diluted shares (m)	385	390	393	393	393						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	21.2	94.6	56.5	39.7	19.0						
EBIT (Adj) (%)	45.8	154.6	113.6	49.5	21.4						
Core NPAT (%)	54.1	134.8	110.1	49.2	21.1						
Core EPS (%)	50.4	131.8	108.8	49.2	21.1						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	29,924	58,530	103,410	167,362	243,179						
Accounts receivables	7,767	12,133	12,338	15,413	17,419						
Inventory	33,397	49,572	71,875	86,859	96,785						
Net fixed & other tangibles	22,481	33,074	48,604	58,952	70,115						
Goodwill & intangibles	169	195	243	243	243						
Financial & other assets	6,168	6,633	7,085	8,617	9,617						
Total assets	99,906	160,137	243,556	337,448	437,357						
Accounts payable	28,884	48,109	66,134	80,160	89,451						
Short-term debt	13,130	16,311	17,628	17,628	17,628						
Long-term debt	3,349	6,949	6,757	8,198	11,264						
Provisions & other liab	21,070	38,203	66,213	79,217	87,830						
Total liabilities	66,433	109,572	156,731	185,202	206,173						
Shareholders' equity	28,871	44,601	78,029	138,179	211,017						
Minority interests	4,602	5,964	8,796	14,067	20,167						
Total equity	33,473	50,565	86,825	152,245	231,184						
Net debt (Adj)	-13,445	-35,270	-79,026	-141,537	-214,287						
Net debt to equity (Adj) (%)	-40.2	-69.8	-91.0	-93.0	-92.7						

For definitions of the items in this table, please click [here](#).

Figure 1. AVC - 2Q26 earnings preview

(NT\$m)	2Q26 Actual	1Q26 Actual	Q/Q	2Q25 Actual	Y/Y	2Q26 Citi	Diff.	2Q26 Cons.	Diff.
Revenue	49,121	49,038	0%	29,595	66%	50,515	-3%	50,258	-2%
Gross profit	15,999	14,597	10%	7,224	121%	15,818	1%	15,587	3%
Gross margin	32.6%	29.8%	+2.8 ppt	24.4%	+8.2 ppt	31.3%	+1.3 ppt	31.0%	+1.6 ppt
Op. profit	13,478	12,019	12%	5,095	165%	12,904	4%	12,646	7%
OP margin	27.4%	24.5%	+2.9 ppt	17.2%	+10.2 ppt	25.5%	+1.9 ppt	25.2%	+2.3 ppt
Net income	9,567	7,916	21%	3,997	139%	8,611	11%	8,656	11%
EPS (NT\$)	24.37	20.17	21%	10.30	137%	21.94	11%	21.80	12%

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Source: Company Reports, Citi Research Estimates, Bloomberg consensus

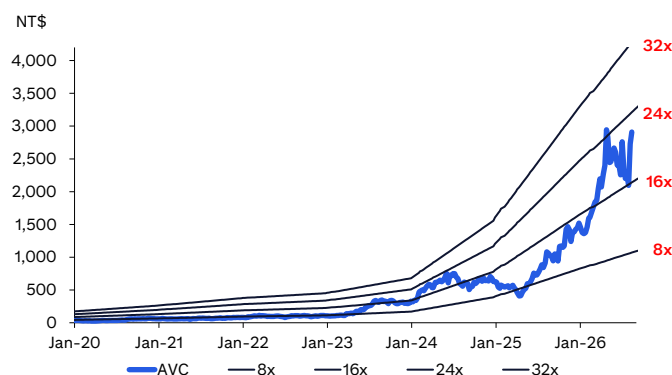
Figure 2. AVC - Earnings estimate revisions

(NT\$m)	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	218,505	221,323	-1%	305,344	286,403	7%	363,328	324,905	12%
Sequential growth	56%	58%		40%	29%		19%	13%	
Gross profit	70,452	69,503	1%	103,669	94,242	10%	125,321	107,750	16%
Opex	11,595	12,063	-4%	15,671	14,805	6%	18,490	16,281	14%
Operating profit	58,857	57,440	2%	87,998	79,436	11%	106,831	91,469	17%
Pre-tax profit	59,785	57,370	4%	89,019	79,397	12%	107,852	91,430	18%
Net income	40,315	38,441	5%	60,150	53,595	12%	72,839	61,496	18%
EPS (NT\$)	102.70	97.95	5%	153.21	136.57	12%	185.53	156.70	18%
Gross margin	32.2%	31.4%	+0.8 ppt	34.0%	32.9%	+1.0 ppt	34.5%	33.2%	+1.3 ppt
Opex ratio	5.3%	5.5%	-0.1 ppt	5.1%	5.2%	-0.0 ppt	5.1%	5.0%	+0.1 ppt
Operating margin	26.9%	26.0%	+1.0 ppt	28.8%	27.7%	+1.1 ppt	29.4%	28.2%	+1.3 ppt
Net margin	18.5%	17.4%	+1.1 ppt	19.7%	18.7%	+1.0 ppt	20.0%	18.9%	+1.1 ppt

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Source: Citi Research Estimates

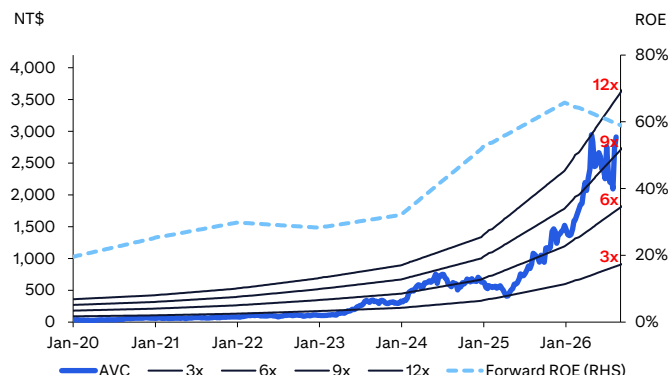
Figure 3. AVC - Forward P/E band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 4. AVC - Forward P/B band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 5. AVC - Quarterly earnings forecasts

(NT\$ in Mn, year-end Dec)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	49,038	49,121	56,823	63,523	66,811	71,911	82,247	84,375	139,639	218,505	305,344	363,328
Gross Profit	14,597	15,999	18,708	21,148	22,488	24,239	28,012	28,929	36,034	70,452	103,669	125,321
OPEX	(2,578)	(2,521)	(3,105)	(3,390)	(3,471)	(3,586)	(4,288)	(4,327)	(8,478)	(11,595)	(15,671)	(18,490)
Operating profit	12,019	13,478	15,603	17,757	19,017	20,654	23,724	24,603	27,556	58,857	87,998	106,831
Total Non-OP	(40)	457	255	255	255	255	255	255	1,231	928	1,021	1,021
Pre-tax profit	11,979	13,935	15,858	18,012	19,273	20,909	23,980	24,858	28,786	59,785	89,019	107,852
Net Profit	7,916	9,567	10,759	12,073	13,280	14,034	16,245	16,591	19,186	40,315	60,150	72,839
EPS (NT\$)	20.17	24.37	27.41	30.75	33.83	35.75	41.38	42.26	49.17	102.70	153.21	185.53
Revenue mix												
Thermal	64%	62%	64%	63%	65%	64%	67%	66%	57%	63%	66%	65%
Chassis	20%	21%	20%	21%	20%	20%	19%	19%	18%	20%	20%	21%
System Integration	8%	9%	8%	8%	7%	7%	6%	6%	16%	8%	7%	6%
Hinge (Fositek)	9%	8%	8%	8%	8%	8%	8%	9%	9%	8%	8%	8%
Margins (%)												
Gross profit	29.8%	32.6%	32.9%	33.3%	33.7%	33.7%	34.1%	34.3%	25.8%	32.2%	34.0%	34.5%
OPEX to sales	5.3%	5.1%	5.5%	5.3%	5.2%	5.0%	5.2%	5.1%	6.1%	5.3%	5.1%	5.1%
Operating Margin	24.5%	27.4%	27.5%	28.0%	28.5%	28.7%	28.8%	29.2%	19.7%	26.9%	28.8%	29.4%
Pre-tax profit	24.4%	28.4%	27.9%	28.4%	28.8%	29.1%	29.2%	29.5%	20.6%	27.4%	29.2%	29.7%
Net Margin	16.1%	19.5%	18.9%	19.0%	19.9%	19.5%	19.8%	19.7%	13.7%	18.5%	19.7%	20.0%
Y/Y												
Net sales	110.2%	66.0%	45.9%	33.0%	36.2%	46.4%	44.7%	32.8%	94.6%	56.5%	39.7%	19.0%
Gross profit	142.2%	121.5%	83.9%	67.7%	54.1%	51.5%	49.7%	36.8%	88.7%	42.9%	36.2%	18.0%
Operating profit	175.6%	164.5%	93.0%	77.3%	58.2%	53.2%	52.1%	38.6%	154.6%	113.6%	49.5%	21.4%
Pre-tax profit	159.3%	136.3%	93.0%	79.2%	60.9%	50.0%	51.2%	38.0%	133.1%	107.7%	48.9%	21.2%
Net Margin	146.3%	139.3%	101.5%	81.9%	67.8%	46.7%	51.0%	37.4%	134.8%	110.1%	49.2%	21.1%
Q/Q												
Net sales	2.6%	0.2%	15.7%	11.8%	5%	8%	14%	3%				
Gross profit	15.8%	9.6%	16.9%	13.0%	6%	8%	16%	3%				
Operating profit	20.0%	12.1%	15.8%	13.8%	7%	9%	15%	4%				
Pre-tax profit	19.2%	16.3%	13.8%	13.6%	7%	8%	15%	4%				
Net Margin	19.3%	20.9%	12.5%	12.2%	10%	6%	16%	2%				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Asia Vital Components (3017.TW)

NT\$ 4,200.00
▲ 44% Upside

NT\$ 3,800.00
▲ 31% Upside

NT\$ 2,000.00
▼ 31% Downside



Spread 76pp
Current Price and expected returns (upside/downside) as of 12 Aug 2026



BULL Assumptions

- Higher target multiple at 30x



BASE Assumptions

- Sales to grow by 57% y-o-y in 2026E, followed by 40% y-o-y growth in 2027E; OPM at 26.9-28.8%
- Target multiple at 25x



BEAR Assumptions

- Sales to grow by 20%/10% y-o-y in 2026E/27E with OPM at 18.0%
- Target multiple at 20x

Asia Vital Components

Company description

Asia Vital Components (AVC), founded in 1991, is a global leader in thermal solutions, originally focusing on PCs but now specializing in servers and networking. With Furukawa Electric (Japan) as its largest shareholder, AVC provides a comprehensive range of cooling components, including vapor chambers (VCs), fans, cold plates, CDUs, and manifolds, as well as chassis and assembly services for PCs and servers, enabling holistic thermal solution designs and one-stop shop services. AVC's diverse product portfolio supports various sectors, including consumer IT, cloud infrastructure, transportation, energy and networking.

Investment strategy

We rate AVC a Buy. AVC is well-positioned for the liquid-cooling transition, with leadership in cold plates and broad participation across Nvidia and CSP projects. Its high-volume machining capability, manufacturing uniformity, and Vietnam-based capacity provide it with a defensible position as Blackwell and future deployments expand. The company captures a wider share of the thermal BOM, across coldplates, manifolds, QDs, and CDU opportunities, providing a multi-layered earnings engine.

Valuation

We value AVC using a PE-based approach that factors in earnings momentum and the expansion of its addressable market. Our TP of NT\$3,800 is derived from applying a 25x PE multiple on 2027E EPS, which we believe is justified given the company's entrenched position in the server thermal segment, rising contribution from liquid cooling, and the increasing value of thermal content per server as power density continues to climb. With these structural drivers still in place, we expect the multiple to hold at a premium relative to its historical averages.

Risks

This stock is High Risk based upon our quantitative model but assigning a High Risk rating is not supported by other qualitative factors such as cold-plate leadership and deep CSP penetration, and so a High Risk rating has not been applied. Key downside risks to our investment thesis and target price include: 1) slower adoption pace for liquid cooling adoption; 2) heightened price competition; 3) lower-than-expected share in liquid cooling components; and 4) emerging alternative cooling technologies.

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Appendix A-1

ANALYST CERTIFICATION

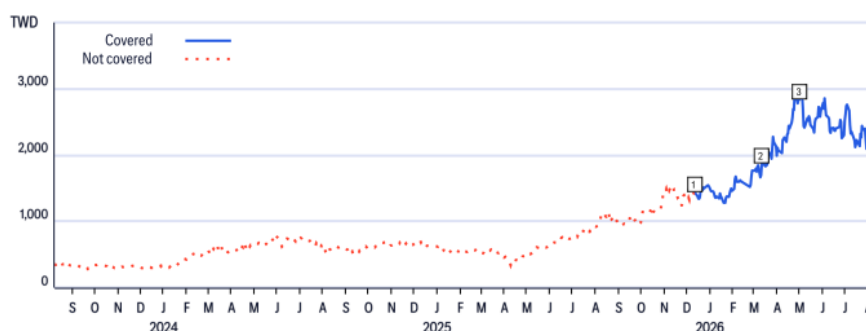
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IMPORTANT DISCLOSURES

Asia Vital Components (3017.TW)

Ratings and Target Price History Fundamental Research

Analyst: Michael Hung



	Date	Rating	Target Price	Closing Price
1	11-Dec-25 07:34:19	*1	*2,055.00	1,430.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
2	11-Mar-26 12:50:47	1	*2,400.00	1,860.00

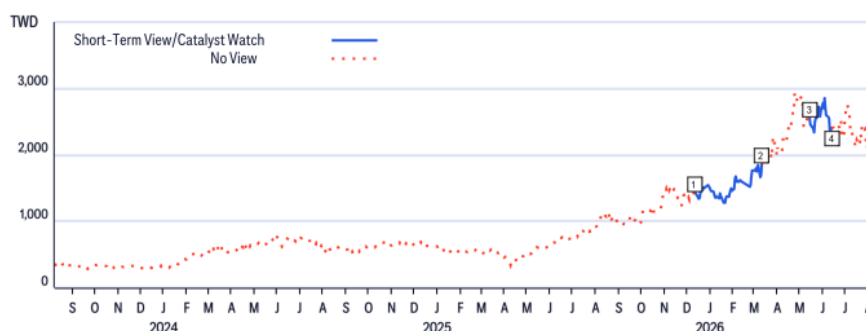
	Date	Rating	Target Price	Closing Price
3	30-Apr-26 11:37:17	1	*3,450.00	2,835.00

Rating/target price changes above reflect Eastern Time

Asia Vital Components (3017.TW)

Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Dec-25 02:34:19	Add STV	Upside	90 Days	1,430.00
2	11-Mar-26 21:46:27	Remove STV	Upside	90 Days	1,860.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	14-May-26 07:40:28	Add STV	Upside	30 Days	2,555.00
4	12-Jun-26 14:22:58	Remove STV	Upside	30 Days	2,405.00

Rating/target price changes above reflect Eastern Time

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